Meta Platforms, Inc.

META NASDAQ

Hold	$644.99 ▼ 0.59%	12M Price Target	52-Week Range	Market Cap
		$720.00	$520.26 – $779.82	$1.64T

META: Capex Panic Hits Stock, AI Spending Fears Spike

WHAT HAPPENED

- META got clobbered — down ~9% in two sessions, dropping from $697 to $645. The big tell: that massive unusual call buying at the $640 strike (14x normal volume) means traders are betting this is roughly where it bottoms, but the heavy put flow at $800-$810 says nobody expects a quick snapback either. Translation: the market thinks META is "cheap-ish here, but capped above."
- COO Javier Olivan dumped shares at $707 right before the drop — that's cluster insider selling, which is never a great look even if it's a pre-scheduled plan. Combined with the sector showing tech barely green while energy rips, money is clearly rotating OUT of mega-cap AI spenders.

WHY IT MATTERS

This selloff is almost certainly about AI capex anxiety ahead of earnings (expected next week) — investors are terrified Zuckerberg will announce another $20B+ bump to 2027 capex guidance, which crushes free cash flow (the actual cash left over after spending). The bigger picture: this is the SAME fear that hit Google and Microsoft recently — Wall Street is in "show me the AI ROI" mode and losing patience with "trust us, it'll pay off" narratives. Here's what to watch: if META's earnings show ad revenue growth above 18% AND Reality Labs losses narrow, the capex concerns get forgiven fast. If ad growth decelerates to the low teens while capex explodes, this stock sees $580 before it sees $700.

POLICY & POLITICAL WATCH

Two big policy wedges right now: (1) The FTC's antitrust case to force divestiture of Instagram and WhatsApp is still grinding through appeals — a loss here is existential, though timeline is 2027+. (2) The EU's Digital Services Act fines and the ongoing debate over Section 230 reform in Congress (the law that shields platforms from liability for user content) — any serious crack in 230 would hammer META's business model. On the friendlier side: the administration's push for American AI dominance means META's massive domestic data center buildout likely gets fast-tracked permitting and favorable energy deals, which is a quiet tailwind nobody's pricing in.

IS IT EXPENSIVE?

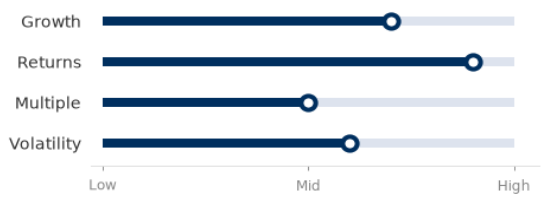
At $645, META trades around 25x forward earnings — meaning you're paying $25 for every $1 of profit they'll make next year. That's actually REASONABLE for a company with 20%+ ad revenue growth and 40% operating margins — cheaper than Microsoft (~32x) and in line with Google (~22x). The question isn't whether it's cheap on today's numbers — it's whether those numbers hold up when $70B+ of annual capex starts eating into the cash flow story.

WHAT COULD GO WRONG

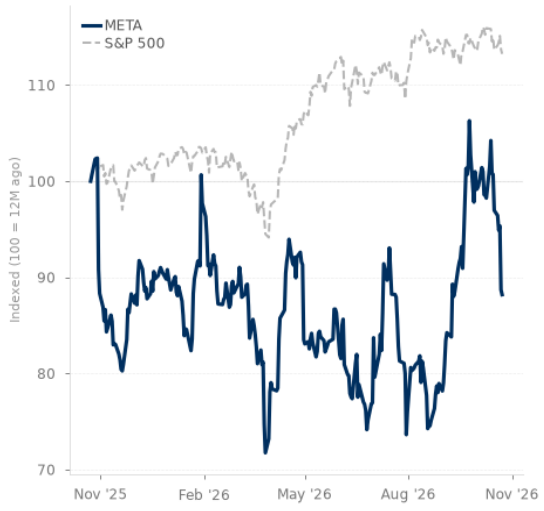
Key Data

Price (USD)	**$644.99**
12M Price Target	**$720.00**
Upside / (Downside)	**+11.6%**
Market Cap	**$1.64T**
FY2026E Revenue	**$198M**
FY2027E Revenue	**$228M**
FY2026E EPS	**$25.80**
FY2027E EPS	**$29.50**
Fwd P/E	**25.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 23, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$700.00**	$660.00	**$600.00**
6 Months	**$780.00**	$700.00	**$580.00**
1 Year	**$850.00**	$720.00	**$550.00**
2 Years	**$950.00**	$800.00	**$500.00**
5 Years	**$1300.00**	$1000.00	**$450.00**
10 Years	**$2000.00**	$1400.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.66%) — oil prices firming on Middle East tension and the administration's pro-drilling stance; this is a direct rotation OUT of growth tech

COOLING OFF: Healthcare (-1.04%) and Utilities (-0.94%) — defensive sectors getting sold as rates stay sticky; AI mega-caps also under pressure as capex fears dominate

ROTATION WATCH: Money is leaving "AI spenders" (META, GOOG, MSFT) and flowing into "AI beneficiaries" that get paid from the spending — chip names, power infrastructure, and energy. The irony is META's capex IS someone else's revenue.

RELATED PLAY: If you believe the AI buildout is real but don't want to own the spenders, look at the picks-and-shovels names — Vertiv (VRT) for data center cooling, Constellation Energy (CEG) for the power contracts, or Arista (ANET) for networking. They capture the capex without eating it.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still winning because every dollar of META's capex panic translates to NVDA revenue — they're selling the shovels
- VRT (Vertiv): Data center infrastructure play benefiting from the exact spending that's hurting META's stock

META CONTEXT: META is LAGGING its mega-cap peers this week — Google held up better post-earnings and MSFT is flat. That tells us the market has specifically singled out META's capex-to-revenue conversion story as the weakest of the big AI spenders. Not a death sentence, but it means META needs to deliver a cleaner earnings print than its peers to catch up.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive. The ad business is a fortress, but I'm not pounding the table ahead of an earnings print with this much capex anxiety baked in.

POSITION SIZE: 3-5% of portfolio — core holding size, not a swing-for-the-fences bet. The business is too dominant to ignore but the near-term setup is messy.

ENTRY POINTS: I'd scale in — a third here at $645, another third if we see $620 on continued pre-earnings jitters, and save dry powder for a potential post-earnings panic to $580.

TIME HORIZON: 12-24 months. The catalyst is proof that AI capex actually translates to ad revenue acceleration — that's a 2027 story.

WHEN TO BAIL: If ad revenue growth drops below 12% year-over-year, or if the FTC actually wins the Instagram divestiture case, I'm out. Also bail if Zuckerberg announces another metaverse-style spending pivot without ROI metrics.

HEDGING: Simplest hedge — buy some protective puts around $600 strike for 3 months out; costs you a little premium but caps your downside if earnings bomb. Or just keep position size modest and let cash be your hedge.

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